



OPTIMAL EXCHANGE RATE DETERMINATION

“ZAMBIAN KWACHA VS US DOLLAR” EXECUTIVE SUMMARY

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1. Overview

The report assesses Zambia's exchange rate management from 2007 to 2025, focusing on the Bank of Zambia's managed float regime in relation to macroeconomic fundamentals through the Purchasing Power Parity (PPP) framework. It analyzes historical exchange rate movements, inflation dynamics, and policy corridors to determine the sustainability of Kwacha's exchange rate against the USD. The analysis identifies key indicators: the Optimal PPP Target Rate, Upper Policy Bound, and Lower Policy Bound, highlighting the Kwacha's overvaluation or undervaluation relative to inflation differentials. Findings reveal that external shocks, such as the global financial crisis and the COVID-19 crisis, significantly affected Kwacha, leading to market stress. The report suggests an optimal exchange rate corridor of 19.5–22.5 ZMW/USD, with a midpoint target of 21.0 ZMW/USD, to promote macroeconomic stability and export competitiveness.

2. Key Findings

The analysis highlights three significant depreciation crises in Zambia from 2007 to 2025: the 2008–2009 global financial crisis, the 2014–2015 copper price collapse, and the 2020–2022 COVID-19 and debt crisis. Each crisis led to substantial depreciation of the Kwacha, particularly during 2014–2015 when it lost over 50% of its value. The report indicates that inflation differentials with the US were a key long-term driver of the Kwacha's depreciation, with inflation rates fluctuating between 8% and 20% during crisis periods. Despite Zambia's lack of an explicit exchange rate target, it recommends a corridor of 19.5–22.5 ZMW/USD to maintain stability, supported by recent economic improvements, including

debt restructuring and declining inflation. Maintaining the proposed exchange rate corridor could enhance export competitiveness and prevent economic instability.

Historical Pattern Summary (2007–2025)

Period	Exchange Rate Theme	Inflation Dynamic	Policy Assessment
2007–2009	Moderate depreciation → crisis spike	High Zambia vs. low US inflation	Corridor likely breached at peak
2010–2013	Stabilization, redenomination year	Declining inflation differential	Partial re-alignment achieved
2014–2015	Sharp depreciation (50%+)	Wide differential re-emerges	Significant corridor breach
2016–2019	Gradual weakening trend	Moderating but elevated	Marginal corridor compliance
2020	COVID shock depreciation	Inflation spikes both countries	Unusual convergence dynamic
2021–2022	Crisis-level depreciation; debt default	Record differentials	Major corridor breach
2023–2025	Post-restructuring stabilization	Both sides disinflation	PPP convergence emerging

Current Market Data (May 2026)

The following data points were retrieved at the time of this analysis to ground the policy recommendation in live market conditions:

Indicator	Value	Source
Current USD/ZMW spot rate	~18.88 ZMW/USD	Exchange-rates.org, May 2026
2025 average USD/ZMW	~25.25 ZMW/USD	Exchange-rates.org
2025 peak (March 2025)	28.94 ZMW/USD	Exchange-rates.org
Economists' stability estimate	21–22 ZMW/USD	Zambia Invest / IMF
Boz inflation target	6–8%	Bank of Zambia Act, 2022
Boz policy rate (Feb 2026)	13.5%	Bank of Zambia MPC

Indicator	Value	Source
Zambia inflation (Jan 2026)	9.4%	Bank of Zambia
US inflation (2025–2026 trend)	~2.5–3%	US Federal Reserve data
IMF GDP growth forecast 2026	5.2%	IMF Extended Credit Facility review

3. Conclusion

The report concludes that Zambia’s exchange rate movements between 2007 and 2025 were largely driven by structural inflation differentials and repeated external economic shocks. While the Bank of Zambia’s managed float regime provided partial stabilization during some periods, major depreciation crises repeatedly pushed the Kwacha beyond sustainable policy limits. The report demonstrates that the Purchasing Power Parity framework offers a credible and data-driven basis for evaluating exchange rate sustainability. Historical evidence shows that periods of severe misalignment were consistently associated with widening bid-ask spreads, rising inflation, declining investor confidence, and external economic shocks.

Based on the historical analysis and current macroeconomic conditions, the report recommends that the Bank of Zambia adopt a soft exchange rate target corridor of **19.5–22.5 ZMW/USD**, centered around a midpoint target of **21.0 ZMW/USD**. Maintaining the exchange rate within this range would help balance export competitiveness, inflation control, fiscal sustainability, and investor confidence. The findings further suggest that controlled and gradual depreciation, rather than aggressive currency defense, would provide a more sustainable path toward long-term macroeconomic stability. Continued debt restructuring progress, prudent monetary policy, stable copper production, and inflation management will remain critical to maintaining this equilibrium over the medium term.